A-level

ECONOMICS

Paper 2 National and international economy

Predicted Paper Set C — Advanced

Macroeconomic analysis focus

MARK SCHEME and MODEL ANSWERS

Total paper mark: 80 | Section A: 40 marks | Section B: 40 marks

General marking guidance

- Examiners reward responses for what candidates have demonstrated, not penalised for omissions.
- Where a response falls between two levels, the mark awarded should reflect the quality of analysis and evaluation, not just the number of points made.
- Diagrams must be accurate and fully labelled to score full marks. A clear verbal description of the diagram may earn partial credit.
- Indicative content is not exhaustive. Alternative relevant arguments and examples should be credited on merit.
- For evaluation questions, credit the quality of judgement — a clear, reasoned conclusion supported by analysis is essential for the top level.

Assessment Objectives (AOs)

AO1 Knowledge and understanding of economic terms, concepts, theories and models.

AO2 Application of economic knowledge and understanding to various contexts.

AO3 Analysis of economic issues, showing understanding of their impact on economic agents.

AO4 Evaluation of economic arguments and use of qualitative and quantitative evidence to support informed judgements.

Section A — Data Response

UK Fiscal Stance and the Inflation Cycle

0 1	*Calculate the change in the UK budget deficit as a share of GDP, 2023–2024.*	**2 marks**

Indicative content

The question asks for the change in the deficit itself. Accept EITHER interpretation:

Preferred interpretation — percentage-point change: 4.8% − 4.3% = **+0.5 percentage points** (an increase).

Alternative — percentage change in the deficit: ((4.8 − 4.3) / 4.3) × 100 = 11.63% ≈ **+11.6%** (an increase).

Mark allocation

- **1 mark** — correct numerical answer (+0.5 percentage points or +11.6%; accept 11.6% or 11.63%).
- **1 mark** — correctly identifying the change as an increase.

Award 2 marks for either a fully correct percentage-point change (+0.5 pp, increase) or a correct percentage change (+11.6%, increase). Do not penalise candidates who use either convention provided the interpretation is clear. Award 1 mark for a correct figure without direction stated, or correct working producing a minor arithmetic error.

0 2	*Diagram and explanation: effect on UK real output and the price level of a cut in Bank Rate.*	**4 marks**

Indicative diagram

A standard AD/AS diagram with:

- Axes: Price level (vertical), Real GDP / real output (horizontal).
- Upward-sloping SRAS curve and downward-sloping AD_1 curve; initial equilibrium at PL_1, Y_1.
- Cut in Bank Rate causes AD to shift RIGHT from AD_1 to AD_2.
- New equilibrium at $PL_2 > PL_1$ and $Y_2 > Y_1$.
- Optional: vertical LRAS curve to show whether the economy moves towards or past potential output.

Indicative written explanation

A cut in Bank Rate reduces the cost of borrowing and the reward for saving. Through the transmission mechanism: (i) lower mortgage and consumer-credit rates raise household disposable income and borrowing capacity, so consumption C rises; (ii) a lower cost of capital reduces firms' hurdle rate and raises the present value of projects, so investment I rises; (iii) lower rates attract less ‘hot money’, weakening sterling — Extract A notes the pound depreciated 5% against the dollar — making exports more competitive and imports dearer, raising net exports. Because AD = C + I + G + (X − M), aggregate demand rises and the AD curve shifts right. At the new equilibrium, both the price level and real GDP are higher — supporting the OBR’s projected rebound from 0.6% growth in 2024 to 1.4% in 2025 (Extract A).

Mark allocation (4 marks)

- **1 mark** — correctly labelled axes (Price level and Real GDP) with AD_1, SRAS and initial equilibrium shown.
- **1 mark** — AD correctly shifted RIGHTWARDS to AD_2 with new equilibrium at higher PL and higher Y.
- **1 mark** — identification of at least two transmission channels (C, I, or net exports) affecting AD.
- **1 mark** — clear causal chain: lower rate → cheaper borrowing / weaker currency → higher C, I, (X−M) → AD rises.

A clear verbal description of the diagram may earn up to 3 marks where a visual diagram is absent but the mechanism is fully explained.

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0 3	*Analyse two reasons why UK inflation between 2022 and 2024 may have been driven primarily by cost-push factors.*	**9 marks**

Required economic framework

- Cost-push inflation: an upward shift in production costs, shifting SRAS leftwards — raising the price level while reducing real output (‘stagflation’ pattern).
- Demand-pull inflation: an outward shift in AD, raising the price level while also raising real output.
- The empirical signature differs: cost-push produces rising inflation alongside falling or stagnant growth; demand-pull produces rising inflation alongside rising growth.

Reason 1: The global energy and commodity price shock

The Russia-Ukraine war (February 2022) caused European wholesale gas prices to rise more than fivefold, and food-commodity prices rose sharply owing to disruption to Ukrainian grain and fertiliser exports. For the UK — a major net importer of gas — these price increases fed directly into production costs through energy-intensive sectors and into household bills through consumer energy prices. This is a classic negative supply shock: SRAS shifts left; PL rises and Y falls. Extract B is consistent with this mechanism: CPI jumped from 9.1% in 2022 while real GDP growth simultaneously collapsed from 4.3% (2022) to 0.1% (2023) — an almost textbook stagflation pattern that a pure demand-pull story cannot easily explain.

Reason 2: Post-pandemic supply-chain disruption and labour-market frictions

Global supply chains were severely disrupted during and after COVID-19: shipping container shortages, semiconductor shortages and HGV-driver shortages all raised input costs. The UK additionally faced post-Brexit labour-supply reductions (EU migration fell and participation rates dropped, especially among older workers), adding wage pressure in hospitality, haulage and agriculture. These frictions raised average production costs across the economy, shifting SRAS leftwards. Extract C explicitly identifies 'supply-chain disruption' as a major potential explanation, and notes that by 2024 supply-side pressures had eased — consistent with inflation falling back to 3.2% (2024) and 2.3% (2025 forecast) as SRAS normalised, rather than because of weak demand alone.

Application using the extracts

- **Extract A:** pound depreciated 5% against the dollar — imported inflation through higher prices of dollar-denominated imports (oil, commodities, semiconductors) is itself a cost-push channel.
- **Extract B:** stagflation pattern — inflation 9.1% (2022) with GDP growth collapsing to 0.1% (2023); unemployment barely moved (3.7% → 4.2%), inconsistent with a classic demand-pull boom.
- **Extract C:** explicitly acknowledges 'gas prices, supply-chain disruption' as the cost-push narrative, and notes that when supply-side pressures eased by 2024, inflation fell rapidly.

Chains of reasoning expected

(i) War / OPEC+ decisions → global energy price spike → higher UK production costs → SRAS shifts left → PL rises, Y falls → stagflation (rising inflation with weak growth).

(ii) Post-COVID / post-Brexit supply disruption → reduced effective labour and goods supply at the prevailing price level → SRAS shifts left → inflation rises without corresponding demand growth.

Counter-considerations (for Level 3)

- Extract C notes c. £200bn of excess household savings — a demand-pull element existed.
- Core inflation remained sticky at 3.6% into 2024 even as energy prices fell — suggesting some demand-pull / second-round wage-price effects.
- Fiscal stimulus during COVID and the Energy Price Guarantee also supported demand.

Mark scheme — levels

Level	Marks	Descriptor
Level 3	7–9	Two distinct, fully-developed chains of reasoning linking cost-push mechanisms to the UK inflation experience. Accurate SRAS/AD diagram support. Sustained use of the extracts, including citation of stagflation pattern from Extract B and supply-side narrative from Extract C.
Level 2	4–6	Two reasons identified but at least one is under-developed. Some extract application. Minor inaccuracies in economic analysis.
Level 1	1–3	One reason identified; limited development. Cost-push vs demand-pull framework weak. Little use of extracts.

0 4	*Evaluate the view that reducing the budget deficit should be the UK government's top macroeconomic priority.*	**25 marks**

Arguments FOR (deficit reduction should be the top priority)

- **Historically high debt stock:** Extract A notes UK national debt exceeded 100% of GDP in 2024 at £2.7 trillion — the first time since the 1960s. Extract B confirms debt-to-GDP rose from 85% (2022) to 103% (2025 forecast). Further unchecked deficits compound the stock.
- **Debt-interest burden:** Higher rates (Bank Rate at 5.25% in 2023) combined with a larger stock of debt produced record debt-interest payments — crowding out other public expenditure such as NHS investment or defence.
- **Market credibility risk:** The September 2022 'mini-budget' episode showed that gilt markets can react violently to an apparent loss of fiscal discipline. Maintaining deficit credibility reduces sovereign-borrowing costs.
- **Intergenerational fairness:** Persistent deficits transfer tax burden to future generations, who bear the debt-service cost without having chosen the spending.
- **Fiscal space for future shocks:** A lower debt ratio preserves the capacity to run counter-cyclical fiscal policy when the next major shock (pandemic, financial crisis, geopolitical) arrives.
- **Crowding out:** High public borrowing can raise interest rates and reduce private investment, lowering long-run growth — particularly relevant with the deficit at 4.8% of GDP in 2024 (Extract B).

Arguments AGAINST / evaluation

- **Weak demand and growth:** Extract B shows GDP growth at just 0.6% in 2024. Extract C notes demand was weak owing to lagged monetary tightening. Front-loaded austerity risks deepening this slowdown and could produce hysteresis.
- **Debt dynamics depend on r − g:** Because the debt ratio evolves according to (r − g) × debt ratio + primary deficit, even high debt stabilises if nominal growth exceeds the nominal interest rate. Raising g through public investment can be fiscally as valuable as cutting the deficit.
- **Domestic debt ownership:** A very large share of UK gilts is held domestically (pension funds, insurance companies, Bank of England). This is not equivalent to foreign-currency external debt and carries different default / rollover risks.
- **Public investment needs:** Strategic priorities — NHS waiting lists, net-zero transition, levelling-up, defence, skills — require significant public investment. Austere deficit reduction could forego high-return investment opportunities.
- **Alternative priorities:** Raising trend productivity growth, reducing regional inequality, addressing climate change, rebuilding public services. These arguably yield larger long-run welfare gains than reducing the deficit per se.
- **Supply-side versus demand-side judgement:** If the UK's underlying problem is weak supply-side capacity (productivity puzzle since 2008), deficit reduction through spending cuts may worsen the long-run LRAS, while tax-funded investment could raise it.

Alternative or complementary policies / framework

- Supply-side reform: skills (Lifelong Learning Entitlement), infrastructure (HS2, Project Gigabit), planning reform, R&D tax credits.
- Monetary-fiscal coordination: Bank of England rate cuts in 2024 (Extract A) reduce debt-service costs and should be coordinated with fiscal policy.
- Tax reform: broaden tax base (wealth, capital-gains alignment) rather than spending cuts; supports deficit reduction with less output cost.
- Fiscal rules that target debt trajectory rather than level — allowing short-run counter-cyclicality.
- Growth-friendly deficit reduction: protect public investment while tightening current spending and adjusting tax.

Expected judgement and conclusion

A strong answer rejects ‘top priority’ as too absolute. Fiscal sustainability matters, and at 100% debt-to-GDP the trajectory cannot be ignored. However, with growth at 0.6% and demand weak from lagged monetary tightening, an aggressive fiscal contraction in 2024–25 would risk deepening the slowdown and undermining the very debt-stabilising growth that is needed. The strongest policy conclusion is therefore conditional: medium-term deficit reduction should be a priority, but not the priority. A credible multi-year path to lower deficits, combined with growth-promoting public investment, a stable monetary-fiscal framework and supply-side reform, is likely to deliver better outcomes than front-loaded austerity. The 2010–15 experience — where rapid fiscal consolidation contributed to weak productivity growth — is a cautionary UK precedent.

Mark scheme — levels

Level	Marks	Descriptor
Level 5	21–25	Sophisticated analysis and evaluation. Sustained chains of reasoning; use of debt-dynamics framework ($r - g$); substantial use of all three extracts and own knowledge; clear, well-supported judgement explicitly addressing ‘top priority’ by comparing deficit reduction with alternative priorities.
Level 4	16–20	Good analysis and evaluation. Diagram(s) present and mostly accurate where used. Two or more developed evaluative points on each side. At least one alternative priority considered. Supported judgement.
Level 3	11–15	Sound analysis with some evaluation. Use of extracts is present but may be descriptive. Judgement may be asserted rather than reasoned.
Level 2	6–10	Some relevant analysis. Limited evaluation. Weak or partial use of extracts; comparison with alternatives absent or superficial.
Level 1	1–5	Limited analysis; evaluation absent or generic. Little or no use of extracts.

Section B — Essay

Monetary transmission and macro stabilisation

0 5	*Explain how the transmission mechanism of monetary policy affects aggregate demand.*	**15 marks**

Required definitions

- **Monetary policy:** actions by the central bank (the Bank of England's Monetary Policy Committee) to influence the money supply, short-term interest rates and credit conditions in pursuit of the 2% CPI inflation target.
- **Transmission mechanism:** the set of channels through which changes in the policy instrument (Bank Rate or quantitative easing) feed through to aggregate demand, inflation and real output. The Bank of England emphasises that these channels operate with 'long and variable lags' — typically 12–24 months.

Required channels (candidates should explain at least four)

- **1. Interest-rate / borrowing-cost channel:** A change in Bank Rate is passed through to commercial banks' lending rates, mortgage rates and savings rates. Lower rates reduce the cost of borrowing for households and firms — raising consumption (especially big-ticket items funded by credit) and investment. In the UK, where roughly 1.6 million fixed-rate mortgages refinance each year, the channel is quantitatively important.
- **2. Asset-price / wealth channel:** Lower rates raise the present value of future cash flows, lifting equity and property prices. Higher wealth raises consumption via the wealth effect. Higher equity prices also lower firms' cost of capital, supporting investment (the 'q' channel).
- **3. Exchange-rate channel:** Lower UK interest rates reduce the attractiveness of sterling-denominated assets, causing sterling to depreciate. A weaker currency makes UK exports cheaper in foreign markets and imports dearer in sterling, raising net exports (X − M) and imported inflation. This channel is especially strong for an open economy like the UK.
- **4. Expectations / forward-guidance channel:** By signalling future policy, the MPC influences expected future interest rates, inflation and income — shaping current spending decisions and wage-price setting. Credible forward guidance can achieve demand-side effects without actually moving rates.
- **5. Credit / risk-taking channel:** Lower rates improve borrower balance sheets and bank profitability, encouraging banks to lend more and accept riskier borrowers. Tighter rates contract credit availability, amplifying the direct interest-rate channel.

Required diagram (optional but strengthens top-band answers)

AD/AS diagram showing a rate cut shifting AD right ($AD_1 \rightarrow AD_2$), raising PL and Y at the new equilibrium. Alternative: a flowchart showing Bank Rate → (five channels) → AD = C + I + G + (X − M) → output and prices.

Required chain of reasoning

(i) The MPC sets Bank Rate / conducts open-market operations. (ii) Commercial banks' funding costs change; rates on loans, mortgages and savings adjust. (iii) Asset prices, the exchange rate and expectations all respond. (iv) Households and firms change spending decisions: C rises with lower mortgage costs and wealth effects; I rises with cheaper credit and improved expected returns; (X − M) rises with a weaker currency; expectations anchor consumption-smoothing. (v) AD shifts right (for a cut) or left (for a rise), moving PL and Y in the corresponding direction. Lags mean the full effect typically arrives 12–24 months after the policy change.

Expected content for top-band responses

- At least four channels explained in depth with accurate mechanics.
- Reference to the 'long and variable lags' of monetary policy.
- Application to a current UK example — e.g. the 2022–23 tightening cycle and the 2024 cuts.
- Reference to AD = C + I + G + (X − M) as the identity being moved.

Mark scheme — levels

Level	Marks	Descriptor
Level 4	13–15	Fully developed explanation of at least four transmission channels with accurate mechanics. Clear causal chain from Bank Rate to AD components. Reference to lags and to a UK context. Diagram or flowchart adds clarity.
Level 3	9–12	Sound explanation of three or four channels. Chain of reasoning present. Some real-world application. Minor omissions or imprecision.
Level 2	5–8	Two or three channels explained. Interest-rate channel dominates; exchange-rate and expectations channels weak or absent. Limited UK application.
Level 1	1–4	One channel only. Mechanism asserted rather than explained. Little or no reference to AD components.

0 6	*Evaluate: "Fiscal policy is more effective than monetary policy in stabilising the macroeconomy after a deep recession."*	**25 marks**

Key definitions

- **Fiscal policy:** the use of government spending and taxation to influence aggregate demand and the distribution of income. Stabilising tools include discretionary spending/tax changes and automatic stabilisers (unemployment benefits, progressive income tax).
- **Monetary policy:** the central bank's use of interest rates, quantitative easing and forward guidance to influence AD through the transmission mechanism.
- **Deep recession:** a substantial and sustained fall in real output, typically associated with a collapse in investment and consumption, high unemployment, and the risk that demand remains below potential long enough to cause hysteresis.

Arguments FOR the statement (fiscal is more effective in deep recession)

- **Zero Lower Bound (ZLB):** In a deep recession the central bank may cut rates to or near zero — Bank Rate fell to 0.5% in 2009 and 0.1% in 2020 — at which point further monetary easing has diminishing effectiveness. QE partially compensates but with diminishing returns. Fiscal policy retains full traction at the ZLB.
- **Higher fiscal multiplier in downturns:** Empirical evidence (IMF; Auerbach–Gorodnichenko) suggests the fiscal multiplier is substantially larger in recessions (often >1.5) than in booms (often <1.0), because idle resources mean less crowding out and more slack to absorb demand.
- **Direct injection into the circular flow:** Government purchases and transfers raise AD immediately; monetary policy works only indirectly through asset prices and borrowing decisions, which may be weak when confidence is low.
- **Targeting:** Fiscal instruments can be targeted to sectors, regions and income groups with the highest marginal propensities to consume, maximising demand impact per pound spent. The UK's 2020 furlough scheme (£70bn) is a clear example.
- **Automatic stabilisers:** Unemployment benefits and progressive taxation automatically cushion demand in a recession without discretionary action, providing built-in counter-cyclical support that monetary policy cannot match.
- **Supply-side and demand-side combined:** Public investment in infrastructure, skills and R&D raises AD in the short run and LRAS in the long run, addressing hysteresis risks.

Arguments AGAINST / in favour of monetary policy

- **Implementation lags:** Fiscal policy is slow to enact — the UK budget cycle runs annually; major programmes take months to design and years to execute. Monetary policy can change by 25bp overnight at an MPC meeting.
- **Rising debt and crowding out:** Fiscal stimulus adds to national debt — already 103% of GDP in the UK (Extract B, Paper C). Future tax rises to service debt may dampen consumption (Ricardian equivalence) or raise interest rates, crowding out private investment.

- **Political economy risks:** Fiscal policy is politically captured: stimulus may favour electorally sensitive projects rather than high-multiplier uses. The September 2022 'mini-budget' episode showed how quickly fiscal discipline can be eroded.
- **QE and unconventional monetary tools:** Since 2009 the Bank of England's QE programme has expanded the monetary toolkit beyond the ZLB, compressing long-term yields, supporting asset prices and maintaining credit flow.
- **Credibility and rules-based policy:** An operationally independent MPC anchors expectations more effectively than discretionary fiscal stimulus, which is subject to political short-termism.
- **Distributional and fairness concerns:** Rate cuts favour asset owners (equities, housing) over savers, potentially worsening inequality. Fiscal transfers can be more progressive — but this cuts both ways in the debate.

Relevant UK / international examples

- 2008–09 Global Financial Crisis: both tools deployed. Bank Rate cut to 0.5%; QE programme launched (£200bn). Fiscal response included the 2008 VAT cut and bank recapitalisation. Combined approach arguably prevented a depression.
- 2010–15 austerity: fiscal contraction during still-weak recovery; widely argued (IFS, Financial Times analysis) to have slowed UK productivity growth and real wages — evidence that fiscal tightening in recession is costly.
- COVID-19 (2020): Furlough scheme (£70bn), business-support schemes (£400bn+ of loans and grants), cut in Bank Rate to 0.1% and £450bn of QE. Both tools together prevented a prolonged depression.
- Eurozone crisis (2010–15): austerity without aggressive monetary accommodation (ECB was late to QE) produced a double-dip recession and prolonged unemployment in periphery economies — illustrating the cost of under-used fiscal support and constrained monetary policy.
- US ARRA 2009 ($787bn): CBO and other evaluations find meaningful GDP and employment effects during the recovery phase.

Analytical framework for judgement

The comparison depends on three variables: (i) the starting level of the policy rate — at the ZLB, monetary policy is constrained and fiscal policy becomes relatively more important; (ii) the multiplier environment — deeper recessions have higher fiscal multipliers and weaker monetary transmission; (iii) the composition and credibility of the fiscal response — well-targeted stimulus with a credible medium-term exit strategy dominates generic tax cuts or politically-motivated spending. The strongest case for fiscal policy being 'more effective' holds precisely in deep recessions; in normal downturns the comparison is closer.

Expected judgement and conclusion

The best answers accept the direction of the statement while qualifying it: in a deep recession, particularly at the ZLB, fiscal policy has a distinctive role that monetary policy cannot fully replicate, and the empirical evidence (UK 2008–09 and 2020) supports a strong fiscal response. However, 'more effective' should not be taken as meaning monetary policy is unimportant — the two instruments are complementary rather than substitutes. The most effective macro-stabilisation policy after a deep recession combines: (i) rate cuts to the effective lower bound with supporting QE, (ii) targeted discretionary fiscal expansion focused on high-multiplier uses (furlough-type transfers, public investment), and (iii) allowance for automatic stabilisers to operate. The post-pandemic UK recovery is a case where coordinated monetary-fiscal easing prevented a deeper downturn. The statement is therefore substantively correct under the conditions specified, but the policy lesson is coordination, not rivalry.

Mark scheme — levels

Level	Marks	Descriptor
Level 5	21–25	Sophisticated, balanced analysis and evaluation. Uses multiple UK / international examples. Explicit analytical framework including ZLB, state-dependent multipliers, lags, and political economy. Clear, nuanced judgement that directly addresses the ‘more effective’ comparison. Diagrams where helpful.
Level 4	16–20	Good analysis and evaluation. At least two real-world examples. Reference to ZLB or multipliers. Supported judgement, possibly less developed framework.
Level 3	11–15	Sound analysis with some evaluation. One or two examples. Judgement may be asserted rather than reasoned.
Level 2	6–10	Limited analysis. Evaluation weak or superficial. Few or no examples. Little economic framework.
Level 1	1–5	Descriptive only. Little or no evaluation.

Summary of Marks

Question	Topic	AO focus	Marks
0 1	Quantitative skill — change in budget deficit	AO2	2
0 2	Bank Rate cut and AD — AD/AS diagram	AO1, AO2	4
0 3	Cost-push vs demand-pull drivers of 2022–24 inflation	AO1, AO2, AO3	9
0 4	Deficit reduction as top macro priority — evaluation	AO1–AO4	25
0 5	Transmission mechanism of monetary policy	AO1, AO3	15
0 6	Fiscal vs monetary policy in deep recession — evaluation	AO1–AO4	25
TOTAL	**Paper 2: National and International Economy**	**—**	**80**

END OF MARK SCHEME